

Fed's Williams Says Tariffs Will Likely Boost US Inflation



Unmute Fed's Williams Says Tariffs Will Likely Spur Inflation

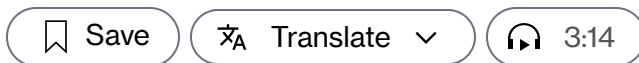


Fed's Williams Says Tariffs Will Likely Spur Inflation

By [Jonnelle Marte](#)

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✦ Takeaways by Bloomberg AI

- Federal Reserve Bank of New York President John Williams anticipates tariffs will contribute to inflation, but emphasizes uncertainty about the economy's response.
- Williams expects good growth this year, albeit slower than last year, and factors in some effects of tariffs on inflation and prices later this year.
- Williams says monetary policy is in a good place and doesn't see the need to change borrowing costs right away, describing policy as "modestly restrictive".

Federal Reserve Bank of New York President John Williams said he anticipates tariffs will contribute to inflation, but emphasized there is a lot of uncertainty about how the economy will respond to President Donald Trump's levies.

“Based on what we know today, given all the uncertainties around that, I do factor in some effects of tariffs now on inflation, on prices, because I think we will see some of those effects later this year,” Williams said Tuesday during the Bloomberg Invest conference in New York.

You also “have to factor in how does that affect economic activity – decisions by businesses to invest, consumers to spend?” Williams said. “And that’s where I think another big uncertainty is.”

When asked whether policymakers will consider adjusting interest rates at this month’s meeting, Williams said monetary policy is in a good place and that he doesn’t see the need to change borrowing costs right away. He described policy as “modestly restrictive,” and reiterated he expects inflation to move toward the central bank’s 2% goal over time.

Policymakers left borrowing costs unchanged in January after lowering their benchmark interest rate by a full percentage point late last year. Officials have said they want to leave rates steady until they see more evidence inflation is on track to reach 2%.

During the conversation with Bloomberg Television’s Michael McKee, Williams said he expects good growth this year, albeit slower than last year.

The New York Fed chief said businesses passed through the costs of tariffs to their customers after the levies were enacted on some goods in 2018. While firms are more attuned to how to pass along price increases, he said many consumers are also more price sensitive.

Inflation Expectations

Williams said he is watching inflation expectations “very closely” and said talk about tariffs is influencing how consumers think about price growth in the near term. However, he said he still isn’t seeing “as much of an

indication in most of these surveys that that's about long-run inflation or inflation in the future.”

Stock markets around the globe plunged this week, reflecting President Trump's sweeping tariffs on America's largest trade partners and mounting worries about the growth outlook. The US levied 25% tariffs on most goods from Canada and Mexico and doubled tariffs on China to 20%.

Investors now expect the central bank to lower rates three times this year, according to the futures market.

The escalating trade war, paired with data pointing to some softness in the economy at the start of the year, has fueled concerns that officials may soon face an environment of slower growth and above-target inflation – a scenario that could force policymakers to make tough decisions between its employment and price stability goals.

The Labor Department will offer an update on the job market on Friday. Officials will meet for their next policy gathering on March 18-19.

Uncertainty Impact

Chicago Fed President Austan Goolsbee, speaking in a separate interview Tuesday, said businesses in his district – which includes the auto manufacturing hub of Detroit – have told him that prolonged tariffs will force them to raise prices.

That, coupled with other uncertainties in the economy, are making it more difficult for the Fed to assess the economy right now, Goolsbee told Bloomberg's “Masters in Business” host Barry Ritholtz.

“We have to slow down the pace of rate cutting until we get a sense of – is this going to be a temporary shock? What's going to be the magnitude of this shock? And what are going to be the reactions coming from the rest of the world?” Goolsbee said.

– *With assistance from Michael McKee and Catarina Saraiva*

(Updates with Williams' remarks on inflation expectations, comment from Chicago Fed President Austan Goolsbee.)



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